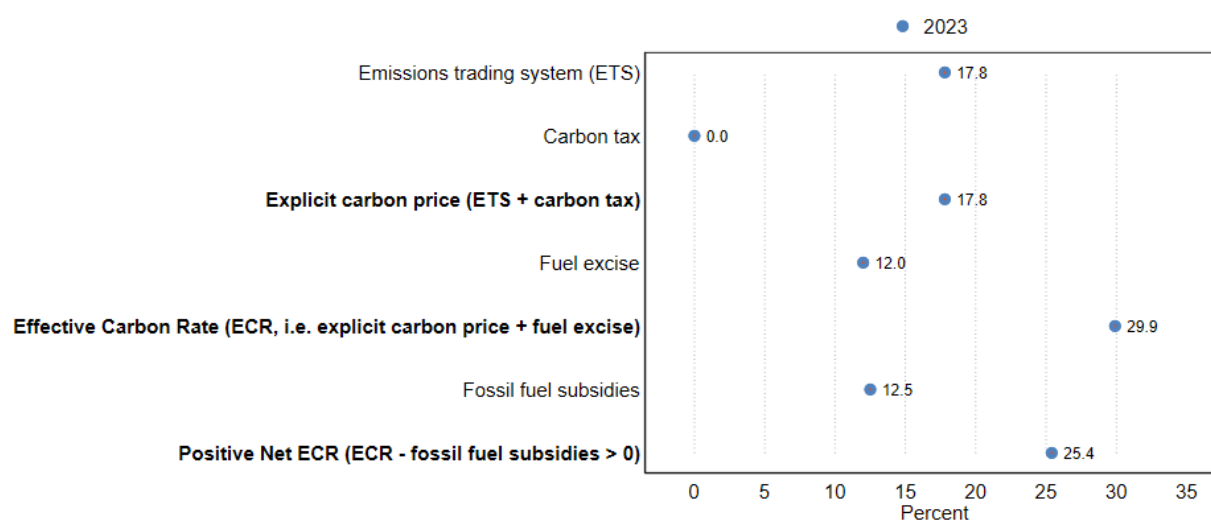




## Net Effective Carbon Rates in Indonesia

### Share of greenhouse gas emissions subject to a positive Net ECR by instrument, 2023

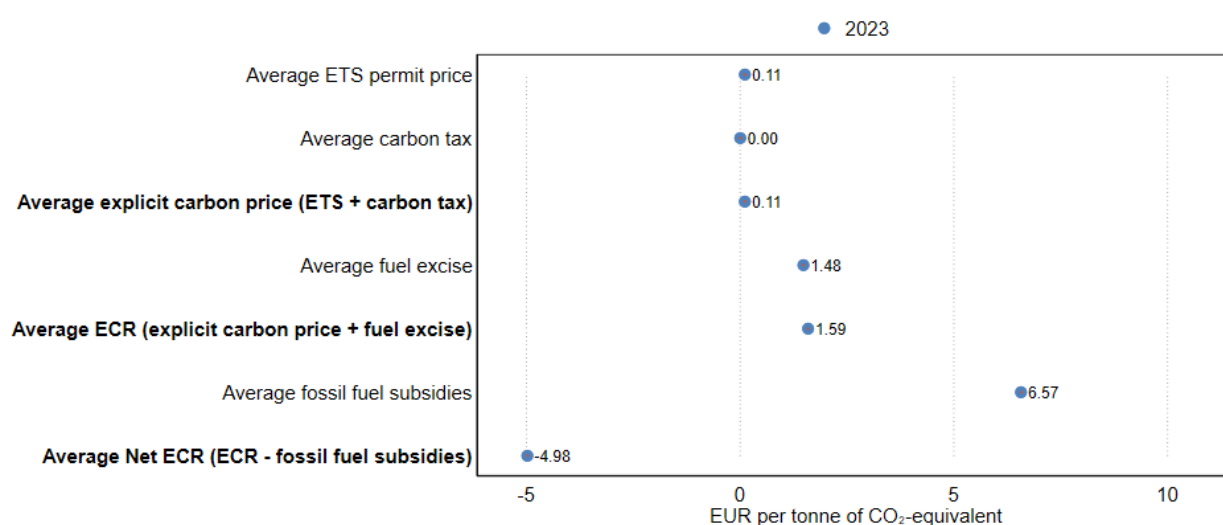
In 2023, 25.4% of GHG emissions in Indonesia are subject to a positive Net Effective Carbon Rate (ECR). Explicit carbon prices in Indonesia consist of emissions trading system (ETS) permit prices, which cover 17.8% of greenhouse gas (GHG) emissions in CO<sub>2</sub>e. Fuel excise taxes, which implicitly price carbon, cover 12% of emissions in 2023. Fossil fuel subsidies cover 12.5% of emissions.



Note: Percentages are rounded to the first decimal place. Effective Carbon Rates 2025 final estimates.

### Average Net ECRs by instrument, real 2023 EUR, 2023

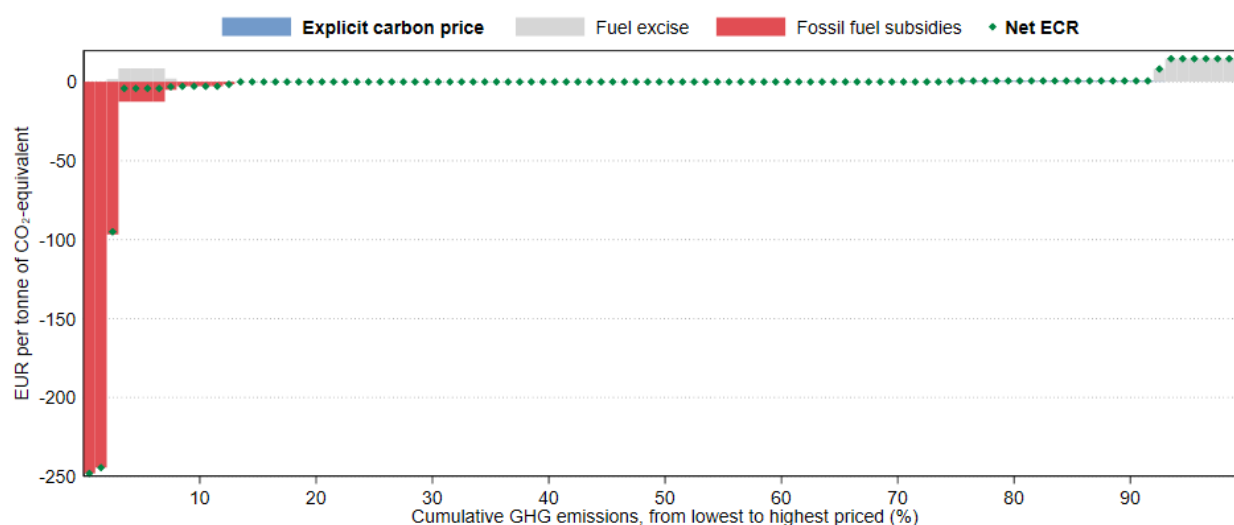
When measured in real 2023 euros, Net Effective Carbon Rates are EUR -4.98 per tonne of CO<sub>2</sub>e on average in Indonesia in 2023. Explicit carbon prices reach an average of EUR 0.11 per tonne of CO<sub>2</sub>e. Fuel excise taxes amount to EUR 1.48 per tonne of CO<sub>2</sub>e on average. Fossil fuel subsidies average EUR 6.57 per tonne of CO<sub>2</sub>e.



Note: Prices are rounded to the nearest eurocent. Effective Carbon Rates 2025 final estimates.

## Distribution of Net ECRs across GHG emissions, 2023

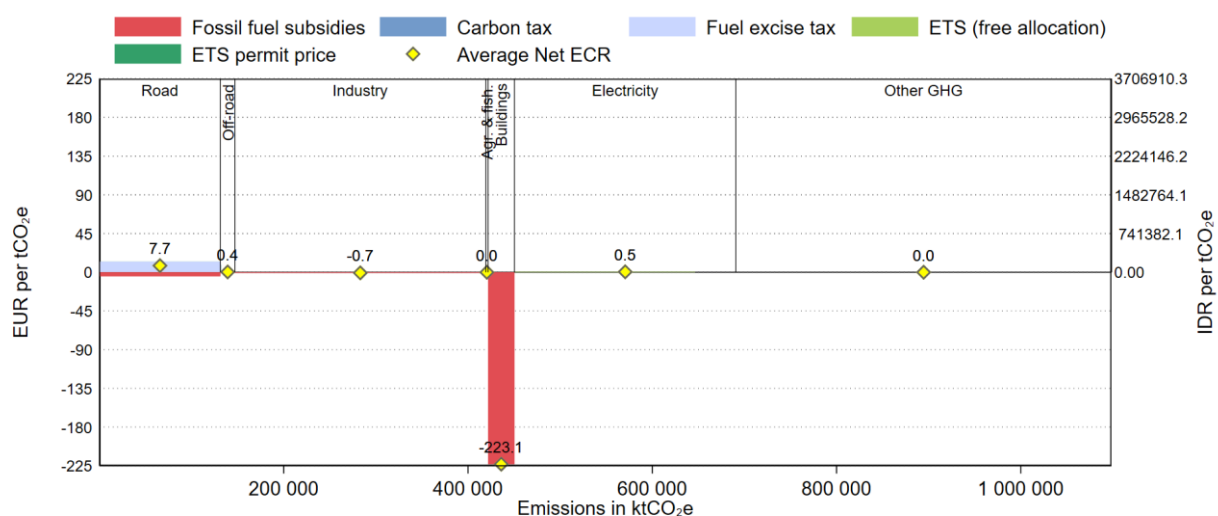
About 26% of GHG emissions are subject to a positive Net ECR in Indonesia. No GHG emissions have a Net ECR above EUR 60 per tonne of CO<sub>2</sub>e.



Note: Simplified for illustration (the average price for each percentile bracket is shown). Effective Carbon Rates 2025 final estimates.

## Average Net ECR by sector and instrument, 2023

Indonesia's greenhouse gas (GHG) emissions are mainly from CO<sub>2</sub> from energy use (62.9%). Net Effective Carbon Rates are highest in the Road transport sector, which accounts for 12% of the country's total GHG emissions, followed by the Electricity sector. The Net ECR is zero or negative in the Agriculture & fisheries, Buildings, Industry and Other GHG sector. Together, these sectors account for 64.7% of GHG emissions. Free allocation in the Electricity sector applies to 100% of ETS-covered emissions. The ETS covers the Electricity sectors.



**Notes on all figures:** Tax rates applicable on 1 April 2023, Emission Trading Systems operating in 2023 with ETS coverage estimates based on the OECD's Effective Carbon Rates 2025, i.e. coverage year 2023. Fossil fuel subsidy estimates are based on the OECD's Inventory of Fossil Fuel Support, where available, and original research for the other countries. Due to data availability, fossil fuel subsidy estimates for 2023 are based on data for 2022. GHG emissions are the sum of fossil-fuel related CO<sub>2</sub> emissions, calculated based on energy use data for 2023 from the IEA's World Energy Balances 2025 and other GHGs from Climate Watch 2025. Other GHG emissions refer to methane and nitrous oxide from energy use, fugitive emissions, industrial process emissions (including F-gases), non-fuel based agricultural emissions and waste emissions and excluding Land use change and forestry (LUCF). In the Carbon Pricing and Energy Taxation database, sectors corresponding to agriculture and fisheries, buildings, electricity, industry, off-road transport and road transport make up CO<sub>2</sub> emissions from energy use – more detailed definitions are available in Annex A of [OECD \(2025\) Effective Carbon Rates 2025](#).

#### Want to know more?

- Which domestic policy instruments are included as carbon pricing instruments? View the background information: [www.oecd.org/tax/tax-policy/carbon-pricing-background-notes.pdf](http://www.oecd.org/tax/tax-policy/carbon-pricing-background-notes.pdf)
- Access the data shown in the country notes: <http://data-explorer.oecd.org/s/he>



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This work was approved and declassified by the Committee on Fiscal Affairs and Environment Policy Committee (on behalf of JWPTXE - Joint Working Party on Tax and Environment) on 16/10/2025.

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**The full book is available in English:** OECD (2025), *Effective Carbon Rates 2025: Recent Trends in Taxes on Energy Use and Carbon Pricing*, OECD Series on Carbon Pricing and Energy Taxation, OECD Publishing, Paris, <https://doi.org/10.1787/a5a5d71f-en>.

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